

MG2005

International Business

Summer 2023 Examination · Paper 1 · University College Cork

Module	MG2005 — International Business
Session	Summer 2023
Paper structure (as printed)	Part A: answer any 4 of 6 short questions (10 marks each) · Part B: answer any 3 of 5 case-study questions (20 marks each), based on the assigned “PRG” case study
Content covered in this document	Part A, Questions 1–6 in full (all six, since students self-select any four)
Duration	1.5 hours

PART B NOT INCLUDED — CASE STUDY UNIDENTIFIED

Part B (Questions 7–11, worth 60 of the paper’s marks) is built entirely around a case study company referred to only as “PRG.” That name does not appear anywhere in the uploaded exam paper or in the MG2005 revision pack beyond the same five question prompts reused as a worked example in the lecturer’s own exam-technique slides — there is no case description, industry, or company profile attached to it anywhere in the material supplied. Unlike the Tim Hortons paper, “PRG” is too generic an acronym to search for and ground reliably, so no Part B content has been built rather than risk inventing facts about the wrong company. Send the actual case study handout and Part B can be added to this document.

Marks covered in this document

60 of 100 (Part A complete)

PART A · SHORT QUESTIONS · ANSWER ANY 4 OF 6 · 10 MARKS EACH**Question 1****10 marks****QUESTION AS SET**

1. “Agency Theory’s extreme version of shareholder centricity is flawed in its assumptions and damaging in practice.” Critically evaluate the above statement using an appropriate practice example or case.

FULL MODEL ANSWER

The extreme version of agency theory — pure shareholder primacy, associated with Milton Friedman’s 1970 doctrine that management’s sole duty is to maximise shareholder value within the law — rests on assumptions that don’t hold up under scrutiny: that shareholders are a homogeneous group with one knowable preference, that share price reliably proxies long-run firm health, and that other stakeholders’ interests are adequately protected by contract and market discipline alone. Each is contestable: shareholder bases are diverse (index funds, activists, long-horizon pension funds); share price can reflect short-term sentiment divorced from fundamentals; and employees bear firm-specific, non-diversifiable risk that diversified shareholders do not.

The Boeing 737 MAX crisis is a well-documented example of the “damaging” half: multiple governance analyses trace Boeing’s post-McDonnell Douglas shift toward an intensely shareholder-value-driven culture — cost-cutting, accelerated timelines, weakened engineering authority — as contributing to the two fatal 737 MAX crashes. The case shows the extreme version’s core assumption failing in practice: near-term shareholder value maximisation did not even protect shareholders once reputational, legal, and grounding costs hit.

CHECKNOTE *The Boeing 737 MAX example is drawn from multiple independent governance and business-ethics analyses (not from the course pack) illustrating this specific critique; it is offered as a widely-discussed instance of the argument, not as a settled causal claim that shareholder-value culture was the sole cause of the crashes.*

CITED SOURCES

- Friedman, M. (1970). The Social Responsibility of Business Is to Increase Its Profits. *New York Times Magazine*.
- Nartey, J. (2025). The Boeing 737 MAX Crisis: An Ethical Analysis of Corporate Governance Failures. SSRN Working Paper.

Mark Allocation — Question 1

Tier	Marks	Descriptor
Full Credit	9–10	Correctly names/identifies the shareholder-primacy position, identifies at least two specific flawed assumptions, and supports the “damaging in practice” half with a concrete, accurate example.
Good	7–8	Correct theoretical framing with one flawed assumption identified and a relevant but thinner example.
Partial	4–6	General agreement/disagreement with limited theoretical grounding; mostly descriptive rather than critical.
Minimal	0–3	Unsupported opinion with no engagement with agency theory.
Question 1		Total: 10 marks

Question 2

10 marks

QUESTION AS SET

2. Explain why focusing on the price and quality of a firm's final product risks overlooking the roots of its competitive advantage. Use an appropriate example to support your answer.

FULL MODEL ANSWER

This is the core argument of Prahalad and Hamel's (1990) **core competence** thesis: a firm's sustainable competitive advantage lies not in any single end product, but in the underlying bundle of skills, technologies, and organisational learning that lets it generate a whole stream of products across markets. A specific product's price and quality are surface-level and relatively easy for competitors to observe, benchmark against, and eventually imitate or undercut — they are the visible fruit, not the root.

Honda is the standard illustration: its core competence in small, efficient **engine design and manufacturing** underpins products as different as motorcycles, cars, generators, and lawnmowers. A rival that focuses only on matching Honda's car pricing or paint-job quality is competing at the wrong level — the real advantage sits one layer down, in decades of accumulated engineering know-how that is far harder to replicate than any single product's features. Firms that manage strategy purely at the product level therefore risk misdiagnosing both their own advantage and their competitors' threat, and under-investing in the competencies that actually sustain advantage over time.

CITED SOURCE

- Prahalad, C. K., & Hamel, G. (1990). The Core Competence of the Corporation. *Harvard Business Review*, 68(3), 79-91.

Mark Allocation — Question 2

Tier	Marks	Descriptor
Full Credit	9–10	Correctly identifies the core-competence argument (competitive advantage rooted in underlying capabilities, not the end product), explains why product-level focus is imitable/superficial, and supports it with an accurate example.
Good	7–8	Correct general argument made, but without explicitly naming or drawing on the core-competence framework.
Partial	4–6	Vague statement that “there's more to competitive advantage than price and quality” without a clear underlying mechanism or example.
Minimal	0–3	No coherent explanation offered.

Question 2

Total: 10 marks

Question 3

10 marks

QUESTION AS SET

3. Based on the theory of comparative advantage and assuming that labour is the only variable input, why should China and the United States trade (5 marks) and who are the potential winners and losers from economic sanctions on Chinese solar panel producers (5 marks)?

Labor Cost (hours of production/unit)	Solar Panel Production	Wind Turbine Production
China	5	10
United States	20	20

FULL MODEL ANSWER

Why trade (5 marks): Converting labour-hours into opportunity costs:

Country	Opportunity cost of 1 solar panel	Opportunity cost of 1 wind turbine
China	$5 \div 10 = 0.50$ wind turbines	$10 \div 5 = 2.00$ solar panels
US	$20 \div 20 = 1.00$ wind turbines	$20 \div 20 = 1.00$ solar panels

China's opportunity cost of a solar panel (0.50) is lower than the US's (1.00) — **China holds comparative advantage in solar panels**. The US's opportunity cost of a wind turbine (1.00) is lower than China's (2.00) — **the US holds comparative advantage in wind turbines**. China uses fewer labour hours per unit of *both* goods (an absolute advantage in everything), yet trade still benefits both countries if each specialises by relative, not absolute, cost.

Sanctions on Chinese solar producers (5 marks): Since China holds comparative advantage in solar panels, sanctions push trade away from the lowest-cost producer. **Losers:** Chinese producers/exporters lose market access; importing-country consumers and renewable developers face higher prices; and there is a global efficiency loss. **Winners:** protected domestic manufacturers gain short-run market share; and third-country producers can capture diverted demand — as seen when Cambodian, Malaysian, Thai, and Vietnamese assemblers using Chinese components absorbed tariff-avoiding trade flows after 2023, before anti-circumvention duties closed that route in 2024–25.

CHECKNOTE *The Southeast Asia solar-tariff circumvention detail is drawn from US Department of Commerce and Department of Energy public findings (2023–2025), used as a real illustration of the winners/losers dynamic rather than material from the course pack.*

CITED SOURCES

- U.S. Department of Commerce (18 Aug 2023). Final Determination of Circumvention Inquiries of Solar Cells and Modules from China.
- U.S. Department of Energy (2025). Overview of Trade and Policy Measures for U.S. Solar Manufacturing.

Mark Allocation — Question 3

Tier	Marks	Descriptor
Full Credit	9–10	(5 marks) Correct opportunity-cost calculation and comparative-advantage assignment for both countries, noting the absolute-advantage nuance. (5 marks) Identifies at least one accurate winner and one accurate loser group with sound trade-theory reasoning, ideally with a concrete illustration.
Good	7–8	Both halves correct in substance but with a thinner winners/losers discussion or missing the absolute-advantage nuance.
Partial	4–6	One half (either the comparative-advantage calculation or the winners/losers analysis) correct, the other weak or missing.
Minimal	0–3	Neither half correctly reasoned.
Question 3		Total: 10 marks

Question 4

10 marks

QUESTION AS SET

4. A multinational food company with substantial operations across different continents and product ranges whose profit margins depend on global commodity prices and adapts its product packaging/size for each of its regional markets is said to follow what type of international strategy? Briefly justify your choice.

1. International Strategy
2. Global Strategy
3. Transnational Strategy
4. Multi-domestic localisation strategy

FULL MODEL ANSWER

Correct answer: C

In the Bartlett & Ghoshal integration-responsiveness framework, the company described faces **high pressure for global integration** — margins tied to global commodity prices require coordinated, efficiency-driven sourcing and cost management across the whole network — *and* **high pressure for local responsiveness** — packaging and pack size are adapted per regional market to fit local tastes, retail formats, and price points. The combination of both pressures simultaneously being high is the defining feature of a **transnational strategy**, distinguishing it from a global strategy (high integration, low responsiveness — standardised product worldwide) and a multi-domestic strategy (low integration, high responsiveness — largely autonomous national units).

Mark Allocation — Question 4

Tier	Marks	Descriptor
Full Credit	9–10	Correct letter (C) with justification correctly identifying both the global-integration pressure (commodity-driven cost coordination) AND the local-responsiveness pressure (packaging/size adaptation), explicitly using the integration-responsiveness framework.
Good	7–8	Correct letter with only one of the two pressures clearly explained.
Partial	4–6	Correct letter with a vague justification not tied to the integration-responsiveness framework, or incorrect letter with partial understanding shown.
Minimal	0–3	Incorrect letter with no coherent justification.

Question 4

Total: 10 marks

Question 5

10 marks

QUESTION AS SET

5. Outline two explanations for why it is argued that global value chains have become steeper since the 1970s as illustrated on the smile curve. Support your answer with reference to a case example (200 words max).

FULL MODEL ANSWER

The **smile curve** (Stan Shih, Acer, 1992) plots value added against value-chain stage: pre- and post-production (intangible) activities sit at the high ends of the curve, tangible production sits in the low-value middle. Two standard explanations for why this curve has steepened since the 1970s:

1. Commoditisation of production. The rise of large numbers of capable, low-cost contract manufacturers — particularly across East and Southeast Asia — intensified competition specifically in the tangible-production stage, compressing margins there through price competition, while pre-production (R&D, design, IP) and post-production (branding, marketing, distribution) activities remain harder to enter and easier to differentiate.

2. Rising returns to intangible assets. Brand equity, design, software, and proprietary IP increasingly command consumer willingness-to-pay, shifting value capture toward the ends of the chain.

The Apple-Foxconn iPhone supply chain is the standard case example: academic value-capture studies find Apple retains the large majority of the iPhone's value through design, software, and branding, while Chinese assembly (historically via Foxconn) captures only a small single-digit share of value despite performing the physical, labour-intensive manufacturing.

CHECKNOTE *The specific value-capture figures for Apple/Foxconn come from academic "tear-down" studies (Kraemer, Linden & Dedrick; Xing & Detert) and are cited only in general terms above without a precise percentage, since exact figures vary by study year and product generation.*

CITED SOURCES

- Shih, S. (1996). Me-Too Is Not My Style. The Acer Foundation.
- Kraemer, K. L., Linden, G., & Dedrick, J. (2011). Capturing Value in Global Networks: Apple's iPad and iPhone.

Mark Allocation — Question 5

Tier	Marks	Descriptor
Full Credit	9–10	Two distinct, accurate explanations for the steepening smile curve, correctly linked to the theory, supported by an accurate case example, within the 200-word limit.
Good	7–8	Two explanations given but one is underdeveloped, or the case example is only loosely connected.
Partial	4–6	Only one clear explanation given, or the smile-curve concept itself is not clearly engaged.
Minimal	0–3	No coherent explanation of the smile curve or its steepening.
Question 5		Total: 10 marks

Question 6**10 marks****QUESTION AS SET**

6. Write a short note on **one** of the following, noting the main assumptions, applications, and drawbacks:

1. Johansson and Vahlne's (2009) Network Internationalisation Model
2. John Dunning's OLI framework
3. The role of institutions in international strategy

Students answer only ONE of the three sub-options below. All three are answered in full here, since candidates self-select.

FULL MODEL ANSWER**(a) Johanson & Vahlne's Network Internationalisation Model (2009 revision).**

Assumptions: firms internationalise incrementally through experiential learning and relationship-building within business networks, rather than through one-shot, fully-informed rational entry decisions; the key barrier is "liability of outsidership" — lacking a position in the relevant network — more than the older model's emphasis on psychic distance alone.

Applications: explains gradual, staged internationalisation and why firms can struggle even in psychically close markets if they lack local network ties, and succeed in distant markets where they have them. *Drawbacks:* weaker at explaining rapid "born-global" firms and digital/platform businesses that scale internationally with limited local network embedding; network position is difficult to measure empirically.

(b) Dunning's OLI (eclectic) framework. *Assumptions:* a firm will choose FDI over exporting or licensing when it simultaneously holds Ownership advantages (firm-specific assets), Location advantages (host-country attractiveness), and Internalisation advantages (benefits of exploiting O-advantages in-house rather than via market contracts). *Applications:* widely used to explain both entry-mode choice and FDI location decisions. *Drawbacks:* a largely static, checklist-style framework rather than a dynamic process theory; it does not explain how internationalisation unfolds over time (contrast with the Uppsala/network view), and treats O-advantages as pre-existing rather than co-created through relationships.

(c) The role of institutions in international strategy. *Assumptions:* firm strategy is shaped by formal institutions (laws, regulation) and informal institutions (norms, values) in the host country, not by industry or firm resources alone (Peng et al.'s institution-based view). *Applications:* explains why firms favour joint ventures or local partnerships in markets with weak formal institutions ("institutional voids," Khanna & Palepu), and why non-market/political strategy matters alongside competitive strategy. *Drawbacks:* can become too context-specific to generate precise, generalisable predictions, and risks understating firm agency relative to institutional constraint.

CITED SOURCES

- Johanson, J., & Vahlne, J-E. (2009). The Uppsala Internationalization Process Model Revisited. *Journal of International Business Studies*, 40, 1411-1431.

- Khanna, T., & Palepu, K. (2000). The Future of Business Groups in Emerging Markets. *Academy of Management Journal*, 43(3), 268–285.

Mark Allocation — Question 6

Tier	Marks	Descriptor
Full Credit	9–10	For the chosen framework: correctly states its core assumptions, at least one accurate application, and at least one genuine drawback/limitation.
Good	7–8	Assumptions and applications correctly covered, but drawbacks are thin or generic.
Partial	4–6	Only a general description of the framework given, without clearly separating assumptions, applications, and drawbacks.
Minimal	0–3	No coherent description of any of the three frameworks.
Question 6		Total: 10 marks